



U.S. Customs and Border Protection

November 13, 2025

EAPA Case No. 8132

PUBLIC VERSION

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RE: Notice of Determination as to Evasion

Pursuant to an examination of the record in Enforce and Protect Act (EAPA) Investigation 8132, U.S. Customs and Border Protection (CBP) has determined there is substantial evidence that Wholesale Equipment Co., dba WEC Manufacturing (WEC), entered merchandise covered by antidumping duty (AD) and countervailing duty (CVD) orders A-570-133 and C-570-134 on certain metal lockers and parts thereof (metal lockers) from the People's Republic of China (China) into the customs territory of the United States through evasion. Specifically, WEC imported Chinese-origin metal lockers and failed to declare that the merchandise was subject to the *Orders* upon entry.¹ As a result, no cash deposits were collected on the merchandise.

I. Background

On October 11, 2024, List Industries, Inc. (List or the Allegor), a producer of the domestic like product, metal lockers, in the United States, filed an EAPA allegation against WEC.² The Allegation asserted that WEC evaded the *Orders* by changing the description of its imports from in-scope metal lockers or parts from China to "Smartcode Storage Cabinets" and "Smartcode

¹ See *Certain Metal Lockers and Parts Thereof from the People's Republic of China: Antidumping and Countervailing Duty Orders*, 86 FR 46826 (August 20, 2021) (*AD Order* and *CVD Order*, collectively *Orders*).

² See Letter from List Industries, Inc., "Allegation of Evasion of Antidumping and Countervailing Duties Owed on Imports of Certain Metal Lockers and Parts Thereof from the People's Republic of China (DOC Case Nos. A-570-133, C-570-134)," dated October 11, 2024 (Allegation). Pursuant to 19 C.F.R. §§ 165.1(2) and 165.11(a), List meets the definition of an interested party that is permitted to submit an EAPA allegation.

Storage Cabinet Parts” and misclassifying metal lockers under an incorrect HTS number 9403.20.0050 (household lockers), instead of the in-scope HTS number 9403.20.0078; thus, WEC did not properly declare and pay AD/CVD duties.³ CBP acknowledged receipt of the properly filed Allegation against WEC on December 16, 2024.⁴

On January 10, 2025, finding that the Allegation reasonably suggested that covered merchandise was entered into the United States through evasion, CBP initiated an EAPA investigation pursuant to Title IV, section 421 of the Trade Facilitation and Trade Enforcement Act of 2015.⁵ The entries covered by the period of investigation are those entered for consumption, or withdrawn from warehouse for consumption, from December 16, 2023, through the pendency of this investigation.⁶

Customs Form (CF) – 28

On January 28, 2025, CBP issued CF-28 questionnaires to WEC concerning entries of metal lockers entered within the POI, requesting the following information:

- Photographs and a description of each piece of equipment used in the production process;
- Production records, including production capacity;
- Details regarding the production process from start to finish and documents which demonstrate how raw materials purchases are tied to the finished product, such as a purchase order number which may appear in production documents;
- Provide invoices for all raw materials used in the production process;
- Documents related to transportation and container load plans;
- Factory production records (e.g., stamped timecards, work orders);
- Provide the name(s) of owners, corporate officers, forwarding agents, subcontractors, and intermediaries involved and their contact information; and
- Entry transaction information including the original commercial invoice(s), proof of payment(s), purchase order, contracts, CF7501, and all bills of lading (master bills of lading including through bills of lading).
- CBP also requested that proof of payment tie the invoice(s) to the manufacturer, and if necessary, to provide supporting payment schedules noting the specific invoices.⁷

WEC provided a partial response to the CF-28s on March 21, 2025.⁸ In response to the request for entry transaction information, WEC provided for entry [#]2646 a CF-7501, cargo release, commercial invoice, packing list, and bill of lading.⁹ These documents confirmed the Allegation, that WEC described products from Hangzhou Xline as, “Smartcode Storage Cabinet” and “Smartcode Storage Cabinet Parts” under HTS 9403.20.0078 and 9403.20.0050, respectively.¹⁰ For entry [#]5863, WEC provided the purchase order, some information regarding a wire transfer, CF-7501, cargo release, commercial invoice, and bill of

³ See Allegation at 13 and Exhibit 3, Attachments 1, 2 and 3.

⁴ See CBP’s Email, “EAPA 8132: Receipt of Properly Filed Allegation,” dated December 16, 2024.

⁵ See 19 U.S.C. § 1517(b)(1); see also 19 C.F.R. § 165.15; and CBP’s Memorandum, “Initiation of Investigation for EAPA Case Number 8132,” dated January 10, 2025.

⁶ See 19 C.F.R. § 165.2.

⁷ *Id.*

⁸ See WEC’s CF-28 Responses submitted on March 21, 2025 (WEC’s CF-28 Responses).

⁹ *Id.*

¹⁰ *Id.*

lading.¹¹ The documents revealed that this specific entry contained [**PRODUCT**] classified under HTS [**NUMBER AND DESCRIPTION**].¹² Notwithstanding these documents, the WEC CF-28 responses contained no information on the equipment used in the production of metal lockers, no production records or capacity information, no documentation that traced raw materials through the production process to the entries in question, and no list of raw materials used to produce the metal lockers and their parts or the requested raw material invoices.

Importantly, this information, which was requested but not submitted, would have helped CBP to verify the manufacturer of the goods imported. Without this information, CBP does not have enough information to determine factory capabilities, production processes, nor to confirm the identity of the actual manufacturer of the imported metal lockers and parts. This is especially important because if CBP could determine that Hangzhou Jusheng Metal Products Co., Ltd. (Hangzhou Jusheng) manufactured the metal lockers imported, and Hangzhou Xline Machinery & Equipment Co., Ltd. (Hangzhou Xline) exported the metal lockers, then it is possible the goods would have been excluded from paying AD duties but still be subject to CVD duties under the *Orders*.¹³ The *AD Order* stated, “{b}ecause the estimated weighted average dumping margin is zero for subject merchandise produced by Hangzhou Jusheng Metal Products Co., Ltd. and exported by Hangzhou Xline Machinery & Equipment Co., Ltd., entries of shipments of subject merchandise from this producer/exporter combination are excluded from the *AD Order* on subject merchandise from China.” In addition, WEC did not submit any information on the claimed product, “Smartcode Storage Cabinets,” that provides CBP an understanding of the merchandise.¹⁴

Interim Measures

After evaluating the information on the record, CBP determined that reasonable suspicion existed and WEC imported metal lockers into the United States through evasion. CBP based its reasonable suspicion determination on the information submitted by the Alleger in the Allegation and WEC’s CF-28 Response.¹⁵ Specifically, the determination was based on affidavits provided in the Allegation, commercial trade data, company product catalogs reasonably available to the Alleger showing that WEC is importing metal lockers and claiming the merchandise to be “Smartcode Storage Cabinets,” and WEC’s failure to provide complete CF-28 responses, which were devoid of any production information.¹⁶ Consequently, on April 17, 2025, CBP issued a notice of initiation of investigation and interim measures, which outlined the basis for CBP’s reasonable suspicion determination.¹⁷

Requests for Information

On May 13, 2025, pursuant to 19 C.F.R. § 165.5, CBP issued a request for information (RFI) to WEC with May 28, 2025, as the due date to respond.¹⁸ CBP asked WEC about its organizational

¹¹ *Id.*

¹² *Id.*

¹³ See Allegation at Exhibit 2. Hangzhou Jusheng and Hangzhou Xline are not excluded from the *CVD Order*.

¹⁴ See WEC’s CF-28 Responses.

¹⁵ See “Notice of Initiation of Investigation and Interim Measures – EAPA Case 8132,” dated April 17, 2025 (NOI).

¹⁶ See Allegation and WEC’s CF-28 Responses.

¹⁷ See NOI.

¹⁸ See Memorandum to WEC, “EAPA 8132 - Request for Information,” dated May 13, 2025. WEC’s counsel submitted an entry of appearance on April 14, 2025; therefore, CBP addressed the RFI in care of WEC’s attorney.

structure and requested documents including CF-7501 entry summaries, packing lists, invoices, country-of-origin certificates, bills of lading and purchase orders documenting the purchase of metal lockers for seven entries during the POI, its sourcing of the metal lockers, and procedural safeguards for preventing transshipment of covered merchandise.¹⁹

On May 22, 2025, WEC requested its first extension to respond to the RFI.²⁰ CBP granted an extension to respond to the RFI.²¹ On June 5, 2025, WEC submitted its second extension request, and CBP granted the extension on the same day.²² On June 12, 2025, WEC submitted its third extension request, and CBP granted the extension until close of business, June 25, 2025.²³ On June 25, 2025, WEC's counsel filed a letter to withdraw its representation of WEC.²⁴ WEC did not separately submit a response to CBP's RFI. On July 16, 2025, CBP issued WEC its final opportunity to respond to the RFI with a July 23, 2025, deadline.²⁵ WEC again failed to provide a response.

Also on May 13, 2025, CBP issued RFIs to Hangzhou Xline, exporter of merchandise to WEC, and Hangzhou Jusheng, the reported manufacturer.²⁶ On May 22, 2025, Hangzhou Xline and Hangzhou Jusheng requested an extension through counsel to respond to the RFI.²⁷ CBP granted both companies an extension until June 11, 2025.²⁸ On June 5, 2025, Hangzhou Xline and Hangzhou Jusheng submitted their second extension requests.²⁹ CBP again granted an extension until June 18, 2025.³⁰ Hangzhou Xline and Hangzhou Jusheng failed to provide RFI responses by June 18, 2025, and on July 16, 2025, CBP provided Hangzhou Xline and Hangzhou Jusheng their final opportunity to respond to CBP's RFI by close of business July 23, 2025.³¹ On July 23, 2025, Hangzhou Xline and Hangzhou Jusheng's counsel filed a letter to withdraw their representation of the companies.³² Hangzhou Xline and Hangzhou Jusheng never responded to the RFIs.

¹⁹ *Id.*

²⁰ See Letter from WEC, "EAPA Inv. 8132: Request for Extension," dated May 22, 2025.

²¹ See Memorandum to the File, "EAPA Case No. 8132 – Response to WEC Manufacturing LLC's May 22, 2025, Request for Extension to Submit RFI Response," dated May 22, 2025.

²² See Letter from WEC, "EAPA Inv. 8132: Second Request for Extension," dated June 5, 2025. See also Memorandum to the File, "EAPA Case No. 8132 – Response to WEC Manufacturing LLC's June 5, 2025, Request for Extension to Submit RFI Response," dated June 5, 2025.

²³ See Letter from WEC, "EAPA Inv. 8132: Third Request for Extension," dated June 12, 2025. See also Memorandum to the File, "EAPA Case No. 8132 – Response to WEC Manufacturing LLC's June 12, 2025, Request for Extension to Submit RFI Response," dated June 18, 2025.

²⁴ See Letter from WEC's Counsel, "EAPA Inv. 8132: Withdrawal from Representation and Certification of Destruction," dated June 25, 2025.

²⁵ See CBP's Email to Brad Jolly, "EAPA 8132: RFI," dated July 16, 2025.

²⁶ See CBP's Email to Hangzhou Xline and Hangzhou Jusheng, "EAPA 8132 - Certain Metal Lockers and Parts Thereof," dated May 13, 2025.

²⁷ See Letter from Hangzhou Xline and Hangzhou Jusheng, "EAPA No. 8132, Extension Request for Hangzhou Junseng {sic} and Hangzhou Xline's Response to CBP's Requests for Information," dated May 22, 2025.

²⁸ See Memorandum to the File, "EAPA Case No. 8132 – Response to Hangzhou Jusheng Metal Products Co., Ltd.'s May 22, 2025, Request for Extension to Submit RFI Response," dated May 22, 2025. See also Memorandum to the File, "EAPA Case No. 8132 – Response to Hangzhou Xline Machinery & Equipment Co., Ltd.'s May 22, 2025, Request for Extension to Submit RFI Response," dated May 22, 2025.

²⁹ See Letter from Hangzhou Xline and Hangzhou Jusheng, "EAPA No. 8132, Second Extension Request for Hangzhou Jusheng and Hangzhou Xline's Response to CBP's Request for Information," dated June 5, 2025.

³⁰ See Memorandum to the File, "EAPA Case No. 8132 – Response to Hangzhou Jusheng Metal Products Co., Ltd.'s June 5, 2025, Request for Extension to Submit RFI Response," dated June 6, 2025.

³¹ See CBP's Email to Hangzhou Xline and Hangzhou, "EAPA 8132: RFI," dated July 16, 2025.

³² See Letter from Counsel to Hangzhou Xline and Hangzhou Jusheng, "EAPA No. 8132, Withdrawal as Counsel," dated July 23, 2025.

Written Arguments

On August 28, 2025, List submitted written arguments.³³ List argued that consistent with 19 C.F.R. § 165.47 and 19 U.S.C. § 1517(d)(1)(E), CBP should accordingly initiate proceedings under 19 U.S.C. § 1592 to seek full restoration of these duties, in addition to the maximum monetary penalties allowed under the statute.³⁴ WEC did not submit rebuttal written arguments.

II. Analysis as to Evasion

Adverse Inferences

Pursuant to 19 U.S.C. § 1517(c)(3) and 19 C.F.R. § 165.6, CBP may apply an adverse inference if the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP. In applying an adverse inference against an eligible party, CBP may use the facts otherwise available to make a final determination as to evasion pursuant to 19 U.S.C. § 1517(c)(1)(A) and 19 C.F.R. § 165.27. Moreover, an adverse inference may be used with respect to importers, foreign producers, and foreign exporters “without regard to whether another person involved in the same transaction or transactions under examination has provided the information sought....”³⁵

Because WEC, Hangzhou Xline, and Hangzhou Jusheng never responded to CBP’s RFIs, despite being given multiple opportunities to submit such responses, CBP’s ability to obtain information for its investigation was impeded significantly. EAPA regulations at 19 C.F.R. § 165.6(a) state that if “the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a {RFI} made by CBP, CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion....”³⁶ CBP finds that WEC, Hangzhou Xline, and Hangzhou Jusheng failed to cooperate and comply with CBP’s investigation to the best of their ability.

As such, CBP is drawing inferences adverse to the interests of WEC, Hangzhou Xline, and Hangzhou Jusheng from facts otherwise available on the record and relying on information submitted to CBP, including, but not limited to: CBP data indicates that WEC entered metal lockers into the U.S. customs territory during the POI under HTSUS 9403.20.0050 and 9403.20.0078, which are covered by the *Orders*,³⁷ the product catalogs for WEC advertise metal lockers and not “Smartcode Storage Cabinets,”³⁸ and the declaration from Thomas Champa of List asserting that WEC continues to underbid List on covered metal lockers by substantial margins despite the *Orders* being in place.³⁹

³³ See Letter from List, “Alleger’s Written Arguments,” dated August 28, 2025.

³⁴ *Id.* at 9.

³⁵ See 19 C.F.R. § 165.6(a); 19 U.S.C. § 1517(c)(3)(B).

³⁶ See also 19 U.S.C. § 1517(c)(3)(A).

³⁷ See Allegation at Exhibit 2 and Exhibit 3, Attachment 2. See also Receipt Report dated December 18, 2025.

³⁸ *Id.* at Exhibit 3, Attachment 6, and Attachment 7.

³⁹ *Id.* at Exhibit 3.

CBP is relying on this information to conclude that all WEC entries during the POI were covered by the *Orders*. WEC, Hangzhou Xline, and Hangzhou Jusheng failed to respond to CBP's RFIs, in which CBP requested information regarding production, accounting practices and reconciliation of metal lockers imports into the United States with each companies' financial statements. Without this requested information, there is no information on the record that would contradict List's Allegation that WEC failed to properly declare and pay AD/CVD duties.

III. Determination as to Evasion

Under 19 U.S.C. § 1517(c)(1)(A), to reach a final determination as to evasion, CBP must "make a determination, based on substantial evidence, with respect to whether such covered merchandise entered into the customs territory of the United States through evasion." Evasion is defined as "the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security of any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the merchandise."

As discussed in this determination and in the NOI, the record of this investigation contains evidence that metal lockers subject to the *Orders* were entered by WEC into the United States through evasion, resulting in the avoidance of applicable AD/CVD cash deposits or other security. Based on record evidence, and the application of adverse inferences because of WEC's, Hangzhou Xline's, and Hangzhou Jusheng's failures to cooperate in this investigation, CBP determines there is substantial evidence of evasion.

IV. Actions Taken Pursuant to the Affirmative Determination as to Evasion

In consideration of CBP's determination that substantial evidence demonstrates that WEC entered covered merchandise into the customs territory of the United States through evasion, and pursuant to 19 U.S.C. § 1517(d) and 19 C.F.R. § 165.28, CBP will suspend or continue to suspend the entries covered by this investigation, until instructed to liquidate. For those entries previously extended in accordance with the interim measures, CBP will rate adjust and change those entries to type 03 and continue suspension until instructed to liquidate these entries. CBP may also evaluate WEC's continuous bond in accordance with CBP's policies. None of the above actions precludes CBP or other agencies from pursuing additional enforcement actions or penalties.

Sincerely,

A handwritten signature in blue ink, appearing to read "Paul W. Cho".

for Victoria Cho

Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
CBP Office of Trade